

The challenges could be attributed to inflationary pressures that have increased input costs, leading to lower margins. There is sluggish consumer demand, especially in rural areas, traditionally a strong market. This can be partially attributed to the new digital players enjoying better valuations in the market than the brick-and-mortar players.

Hindustan Unilever (HUL) slipped to No. 8 on the list from No. 5 in 2023, while ITC dropped from No. 8 to No. 10. Nestlé India remained in the Top 50 but did not see significant growth in its ranking, reflecting slower stock market performance. Procter & Gamble's performance did not improve significantly, indicating challenges similar to those faced by other FMCG giants, while Dabur India faced a slight drop in its ranking for the same reason. Emami also experienced a drop in ranking. "FMCG companies are adjusting pricing strategies and increasing rural market engagement to cope with inflation and supply chain issues," says Atul Parakh, CEO of fintech platform Bigul.

Expansion into the rural market with differentiated product strategy could be a theme going forward. With the digital wave sweeping across rural India, FMCG giants are exploring all options to engage with digital players. A shining example of this shift is the Open Network for Digital Commerce (ONDC), an initiative targeted at democratising e-commerce across India. In fact, quick commerce expansion will also help the FMCG majors to reach out to wider audiences at the cost of regional companies or local brands.

STRENGTH AMID CHALLENGES

The performance of sectors such as banking and financial services has been significantly impacted by the



Reserve Bank of India's new regulations on increasing the capital requirement on unsecured loans and challenges on the deposit mobilisation front. Deposit growth in the banking system has not kept pace with growth in lending, leading to higher borrowing costs for financial companies, which has resulted in lower-than-expected profit growth. RBI's higher weightages for risky unsecured loans and funding to NBFCs have led to lower yields, as these segments once delivered better margins.

However, some big players such as HDFC Bank, ICICI Bank and State Bank of India (SBI), held on to their ranks at No. 3, No. 4, and No. 7, respectively, this year, as did Axis Bank at No. 17. Kotak Mahindra Bank, however, slipped from 12th in 2023 to 16th in 2024, while Bandhan

Bank saw a steep decline, dropping from No. 144 in 2023 to No. 217 this year. NBFC giant Bajaj Finance also fell from 10th to 12th on the list.

"Financial institutions are grappling with the effects of higher interest rates and geopolitical uncertainties on consumer behaviour and lending practices," says Parakh of Bigul. However, the strong balance sheets of banks—with comfortable levels of capital, lower non-performing assets (NPAs), and higher provision coverage ratios—provide a solid foundation for BFSI players to capture future growth.

THE UPSTARTS

There are also some new entrants on the BT500 list, while some firms that went public in the recent past have also made significant gains